Annual Operating Plan 2027

Executive prioritisation approach - source-based recommendation for model confirmation

Recommendation. Protect source-confirmed LFR demand first, including the three approved Sustain Engineering exceptions. Fund the remaining Sustain Engineering capacity next, then apply one traceable merit method to carry-over, decommissioning and hygiene, and ROI-driven demand. Do not state a final allocation until an approved portfolio envelope is entered.

Source snapshot

279.595 M€	509	34.517 M€	12.333 M€
Requested investment	Demand-evidence rows	LFR baseline	Sustain Engineering base

The source contains 111.699 M€ enterprise-wide and 167.896 M€ business-led demand. All amounts above reconcile directly to the two source sheets. The source does not contain an approved portfolio envelope.

Funding order

Order	Treatment	Source basis
1. LFR	Protect P1 Immediate and P2 Scheduled decisions, then the three approved exceptions.	33 source P1/P2 requests: 16.502 M€; Group Functions 7.630 M€; Supply Chain 4.160 M€; Finance 6.225 M€.
2. Sustain Engineering	Fund the remaining recurring engineering capacity after removing LFR overlap. Coverage may be scenario-controlled.	16 remaining source requests: 12.333 M€.
3. Carry-over	Give earlier consideration to eligible work already started when the submitted lifetime-benefit threshold is met.	Use the source carry-over classification and submitted benefit. Past spend alone does not qualify.
4. Decommissioning and hygiene	Reserve capacity for evidenced retirement, lifecycle and technical-debt scope.	Require traceable source text and a defined scope.
5. ROI-driven demand	Rank remaining eligible requests with the common merit score and fund whole affordable programs.	Explain every request below the funding line or held for evidence.

Baseline implication

At full coverage, LFR and Sustain Engineering total 46.850 M€. The other 232.745 M€ of requested investment remains subject to evidence, merit, stage rules and the approved envelope. Regional ownership is a reporting view, not a separate funding bucket. Each request receives one primary stage and one allocation.

Decision rules and model controls

Use source decisions, concise merit evidence and end-to-end traceability

Decision evidence

Source outcome	Requests	Requested	Model treatment
Healthy - rank	183	108.154 M€	May compete under its applicable stage and evidence rules.
P1 Immediate	30	15.402 M€	LFR, first sequence.
P2 Scheduled	3	1.100 M€	LFR, second sequence.
Contain - conditions	12	3.250 M€	May compete only with its condition retained or reviewed.
MUST-DO priority TBD	1	0.500 M€	Hold pending a reviewed priority.
Blank	280	151.189 M€	Unassessed; keep visible and do not infer Healthy.

The source Decision band is populated on 229 rows covering 128.406 M€: 215 Healthy at 124.406 M€ and 14 Contain at 4.000 M€. The model uses these bands and the Overall AOP decision; it does not recalculate or feature the nine underlying waste dimensions.

Merit score

Dimension	Points	Evidence and rule
Submitted benefit / request	50	Use the submitted lifetime benefit and requested 2027 investment. Claims above 5x require review before automatic benefit-led funding.
Submitted priority	25	Must Do 25; Must Have 18; Deprioritised 5; other or blank 0. Priority alone does not create LFR status.
Captured Consequence	15	Use only Impact and Cost of Not Doing, Problem Statement and Scope. Preserve the supporting source passages.
Decision band	10	Healthy 10; Contain 6; blank or other 0. Overall AOP conditions still govern eligibility.

Captured Consequence

0	No usable consequence in the three source fields.
5	A general consequence, problem or scope is stated, but the harm of not proceeding is unclear.
10	An affected activity or stakeholder and an explicit operational, compliance, customer, financial or delivery harm are stated.
15	The 10-point evidence also states a quantified impact or enterprise, global, multi-region or company-wide reach.

At least one Captured Consequence field is populated on 425 rows covering 245.515 M€; all three are populated on 198 rows covering 117.953 M€. Missing evidence receives no invented points.

Model and dashboard control. The Excel model will hold the source mapping, normalized data, calculations, scenario settings, decisions and explanations. The dashboard will consume the same records and engine so every amount, score and decision traces to the Excel model and original sheet and row. Model and dashboard recreation starts only after confirmation of this revised logic.